



Fixed Assets: **Activate the Asset Master Data**

SAP Business One
Version 10.0

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THE BEST RUN 

Welcome to the Activate the Asset Master Data topic.

Objectives



At the end of this course, you will be able to:

- Activate the Asset Master Data.

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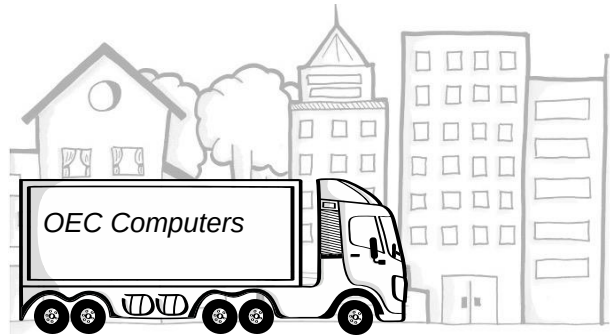
Business Example



- *OEC Computers* utilizes a small fleet of delivery trucks.

After purchasing the trucks, they defined them as fixed assets in SAP Business One.

- In order to present the updated trucks' value in the company financial reports, they need to document the transactions affecting the vehicles' value during their useful life.
- You are a consultant implementing fixed assets and you show them the Fixed Assets functionality and working process in SAP Business One.



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Fixed Assets Activation - Documents

A/P Invoice

Capitalization

A/P Invoice Details:

Item No.	Item Description	Quantity	Unit Price	Disc...	Tax	Total (L.C)
1	Transit Van	1	GBP 6,000.00	0.00	X1	GBP 6,000.00
2	Transit Van	1	GBP 6,000.00	0.00	X1	GBP 6,000.00

Capitalization Details:

Asset No.	Asset Description	Total (L.C)	Quantity	Remarks
1	Transit Van	GBP 6,000.00		

Total: GBP 6,000.00

Acquisition and Production Cost = 6000

- The **Capitalization** is the process of recording the **acquisition and production cost (APC)** as a fixed asset.
- In our example, the acquisition value of the truck is **6000**.
- The user can purchase a fixed asset using an *A/P Invoice*.
- The *A/P Invoice* automatically generates the *Capitalization* document for each *A/P Invoice* that includes fixed asset master data.
- The user can choose whether to generate the *Capitalization* document directly, or to automatically generate it from the *A/P Invoice*. Note that this is also relevant for *A/P Reserve Invoice*
- You can find the *Capitalization* document at **Financials → Fixed Assets → Capitalization**.
- In both options the *Asset Master Data* is activated.
- Note! you can choose an asset master data record in the *A/P Invoice* and you can create a new one from within the *A/P Invoice*. In order to do so, go to **Administration → Setup → General → User Defaults** under the *Defaults* tab, check the *Allow Creating Fixed Assets in Marketing Documents*.

Asset Value Date

A/P Invoice

Capitalization

Vendor: 122000
Name: Dorian Computers
Contact Person: Joe Wilson
Vendor Ref. No.:
Local Currency: GBP

No.: 1743
Status: Open
Posting Date: 13.08.2020
Document Date: 13.08.2020

Contents: Logistics Accounting
Journal Remark: A/P Invoices - V22000
Control Account: 202000 - Trade Creditors (item)
Payment Method: Net 30
Payment Terms: Net 30
Central Bank Int.: Outgoing BT
Installments: 1
Manually Recalculate Due Date:
Cash Discount Date Offset: 0 Months + 30 Days
Deferred Tax: ☐

Electronic Documents: Attachments
BP Project: Create QR Code From:
Indicator: Federal Tax ID: GB763794545
Order Number:
Referenced Document:

Asset Value Date: 01.01.2020

Buyer: James Chan (Buyer)
Owner: Chan, James

Total Before Discount: GBP 6,000.00
Discount: %
Total Due Payment: GBP 6,000.00
Freight: ☐
Tax: ☐
Total Payment Due: GBP 6,000.00
Applied Amount:

Payment Order Run:
Remarks:

Origin: 122000 Origin No.: 1743 No.: 9
Status: Posted
Posting Date: 13.08.2020
Document Date: 13.08.2020
Asset Value Date: 01.01.2020

Depreciation Area: *
Reference:

Contents: Accounting
Asset Description: Transf. Van
Total (LC): GBP 6,000.00
Quantity:
Remarks:
Total: GBP 6,000.00

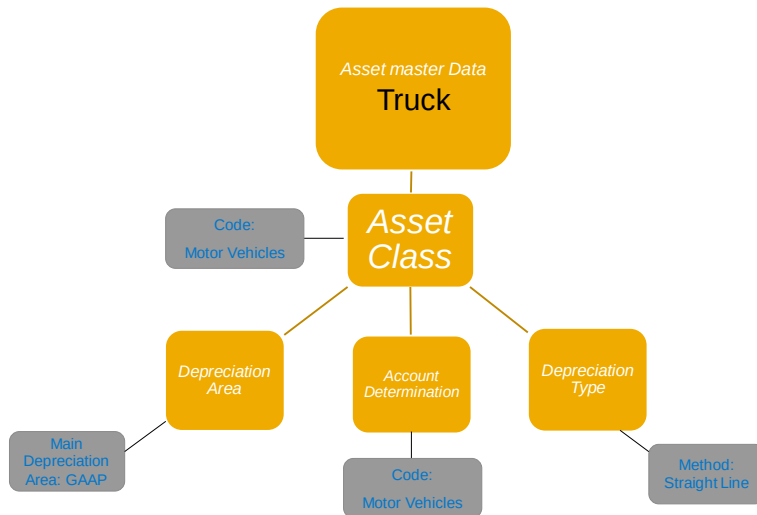
Remarks:

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- When you issue the *A/P Invoice*, the *Asset Value Date* (under the *Accounting* tab) is set by default to be the same as the *A/P Invoice Posting Date*. This date can be changed before adding the *A/P Invoice* to update the *Asset Value Date* in the *Capitalization* document.
- The asset value date can be different from the posting date and document date, but it must be within the same period as the posting date.
- In our example, the truck *Asset Value Date* was set to the **1st of January**.
- The *Asset Value Date* sets the *Capitalization Date* in the *Asset Master Data*.

Fixed Assets Set of Definitions

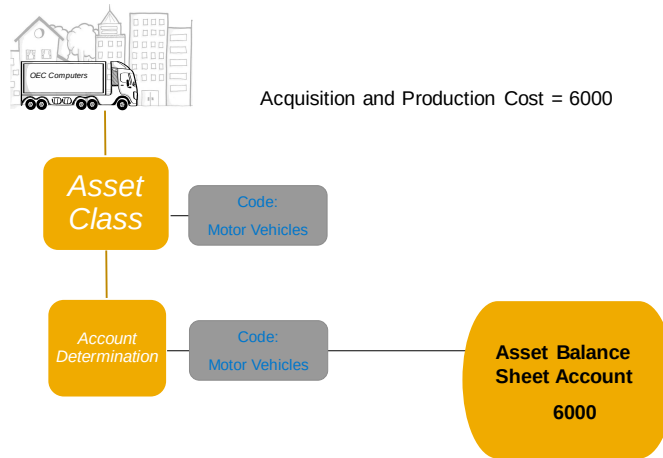


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- Let us refresh our memory with the fixed asset set of definitions.
- In our example, we have the new **truck** that *OEC Computers* purchased.
- We define a set of definitions relevant to this kind of asset, the **Heavy Vehicles** set of definitions.
- Then, we define this truck as an *Asset Master Data* record under **Financials** → **Fixed Assets** → **Asset Master Data** and attach the **Motor Vehicles** set of definitions to this master data record.
- The main definition in the *Asset Master Data* is the *Asset Class* which includes the association to the other definitions: *Depreciation Area*, *Account Determination* and *Depreciation Type*.
- For more details about the fixed assets set of definitions, refer to the initial settings topic.

Activation – Accounts Determination

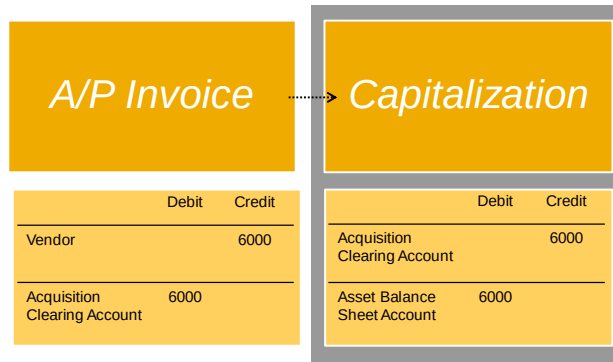


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- The *Account Determination* definition enables the system to automatically select the relevant G/L accounts for assets accounting.
- In our example we defined the **Motor Vehicles** set of accounts. Then, we attached this definition to the **Motor Vehicles** asset class.
- The asset class will be selected for heavy vehicles assets for example the **truck** that the company owns.
- Therefore, all transactions involving the truck will automatically register entries to the **Motor Vehicles** set of accounts.
- So, in our example, the *Capitalization* document will debit the *Asset Balance Sheet Account* defined in the **Motor Vehicles** set of accounts with the acquisition cost of 6000.
- Let us talk a bit more about the created journal entries.

Fixed Assets Activation - Journal Entries



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- The graphic shows the automatic journal entries created during the activation process including the involved accounts.
- If a vendor is not involved, then the user can generate a *Capitalization* document directly. In this case, only the capitalization journal entry will be created and therefore the clearing account will appear as an obligation in the *Balance Sheet*.

Capitalizing Virtual Fixed Assets

A/P Invoice

Vendor: V2000 No.: Primary 750
 Name: Lasecom Status: Open
 Contact Person: Jimmy Miller Posting Date: 16.08.
 Vendor Ref. No.: Due Date: 15.09.
 Local Currency: Document Date: 16.08.

Branch: SBOCHOGBS Branch Reg. No.: 11

Item No.	Item Description	Quantity	Unit Price	Total (LC)
1	Virtual4000001FA Mobile Phone	9	GBP 300.00	GBP 2,700.00

Buyer: James Chan (Buyer) Total Before Discount: GBP 2,700.00
 Owner: Chan, James Discount: % Total Down Payment: 0.00

Asset Master Data

Item No.: 10000000000000000000
 Description: Mobile Phone
 Item Type: Fixed Asset
 Item Group: Computers, Equipment
 Unit Group: Manual
 Price List: Bar Code
 Primary Cost: 1.00

Generals: Purchasing Date: Sales Date: Inventory Date: Fixed Assets: Planning Date: Production Date: Properties: Remarks: Attachments

Overview	Values	Depreciation	Cost Accounting	Attributes
Status: Active	Asset Class: IT Equipment	Depreciation Area: GAAP		
Branch: SBOCHOGBS	Asset Group: 3600400000	Fixed Year: 2020		
Inventory No.	Depreciation Group	Historical APC: GBP 0.00		
Serial Number	Acquisition and Production Costs	Net Book Value: GBP 300.00		
Location	Historical MAP: GBP 300.00	Ordinary Depreciation: GBP 0.00		
Technician	Unplanned Depreciation: GBP 0.00	Special Depreciation: GBP 0.00		
Employee	Write-Up: GBP 0.00	Salvage Value: GBP 0.00		
Capitalization Date: 16.08.20	Quantity			

Depreciation Parameters

#	Depreciation Area	Depreciation Start Date	Depreciation End Date	Useful Life (Months)	Remaining Life (Months)	Depreciation
1	GAAP	16.08.20	31.07.23	26	26	26

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- When your company needs to purchase identical fixed assets in large quantities for internal use, create a virtual item representing the fixed asset. In the A/P Invoice choose this template item and enter a certain quantity in the item row.
- Optionally, you can manage serial numbers for the generated virtual fixed assets.
- You can use the virtual item definition for cases where the company purchases identical assets for office usage, such as laptops, mobile phones or chairs.
- Note that virtual items can be capitalized by A/P invoices only.
- The quantity of the automatically created asset master data is the same as the quantity you have specified in the A/P invoice.
- The item numbers are automatically assigned to newly created asset master data, according to the rules you have defined for the series used in the master data of the virtual fixed asset.
- In our example, when OEC Computers enter a quantity of 9 mobile phones in the A/P Invoice row, the system automatically creates 9 asset master data, one for each mobile phone.
- The information in the asset master data of the virtual fixed asset is copied to the newly created asset master data, except the *Virtual Item* checkbox which stays unselected.
- The assets created are regular fixed assets with monetary values. The virtual item functions as a template and therefore will not have any values under the *Fixed Assets* tab.

Capitalizing Virtual Fixed Assets

A/P Invoice

Vendor: V20000
 Name: Lasercom
 Contact Person: Jimmy Miller
 Vendor Ref. No.:
 Local Currency: SRODEM0GBS

No. Primary: 750
 Status: Open
 Posting Date: 16.08.
 Due Date: 15.09.
 Document Date: 16.08.

Branch: SRODEM0GBS Branch Reg. No.: 11

Contents Logistics Accounting Electronic Documents Attachments

#	Item No.	Item	Quantity	Unit Price	Disc. %	Tax %	Total (LC)
1	Virtual4000031FA	Mobile Phone	9	GBP 300.00	0.00	11	GBP 2,700.00

Buyer: James Chan (Buyer)
 Owner: Chan, James

Total Before Discount: GBP 2,700.00
 Discount: %
 Total Down Payment:
 Freight:

Capitalization

Origin: PU Origin No.: 750
 No. Primary: 12
 Status: Posted
 Posting Date: 16.08.
 Document Date: 16.08.
 Asset Value Date: 16.08.

Depreciation Area: *
 Reference:
 Branch: SRODEM0GBS Branch Reg. No.: 11

Contents Accounting

#	Asset No.	Asset Description	Total (LC)	Quantity	Remarks
1	Virtual4000034FA	Mobile Phone	GBP 300.00		
2	Virtual4000032FA	Mobile Phone	GBP 300.00		
3	Virtual4000036FA	Mobile Phone	GBP 300.00		
4	Virtual4000037FA	Mobile Phone	GBP 300.00		
5	Virtual4000038FA	Mobile Phone	GBP 300.00		
6	Virtual4000039FA	Mobile Phone	GBP 300.00		
7	Virtual4000040FA	Mobile Phone	GBP 300.00		
8	Virtual4000041FA	Mobile Phone	GBP 300.00		
9	Virtual4000042FA	Mobile Phone	GBP 300.00		

Remarks:
 Total: GBP 2,700.00

OK Cancel

- A *Capitalization* document including the created assets is issued automatically as well as a journal entry against the asset account.
- Note that you can include multiple virtual fixed assets in the same A/P invoice, but you cannot include both virtual fixed assets and normal fixed assets in the same A/P invoice.

Capitalizing Virtual Fixed Assets

A/P Invoice

Vendor: V20000
 Name: Lasercom
 Contact Person: Jimmy Miller
 Vendor Ref. No.:
 Local Currency: SRODEM00BS
 Branch: SRODEM00BS
 Branch Reg. No.: 11

Contents | Logistics | Accounting | Electronic Documents | Attachments

#	Item No.	Item Description	Quantity	Unit Price	Disc.	Tax	Total (LC)
1	Virtual400001FA	Mobile Phone	9	GBP 300.00	0.00	11	GBP 2,700.00

Buyer: James Chan (Buyer)
 Owner: Chan, James
 Total Before Discount: %
 Discount: %
 Total Down Payment: %
 Freight: %

List of Items

#	Item No.	Item Description	In Stock	Virtual Asset Item
81	R00002	Printer Paper A4 Recycled	1,769,000	No
82	R300006	Senior Technician	0.000	No
83	R300017	Junior Technician 2	0.000	No
84	S10000	Server Point 10000	40,000	No
85	Small Truck	Small Truck 550	0.000	No
86	Transit Diesel	Transit 350 Diesel 22554411	0.000	No
87	VA000400001MF	Mobile Phone	0.000	Yes
88	VA000400002MF	Mobile Phone	0.000	No
89	VA000400003MF	Mobile Phone	0.000	No
90	VA000400004MF	Mobile Phone	0.000	No
91	VA000400005MF	Mobile Phone	0.000	No

List of Settings

#	Field Name	Displayed Name	Group	Visible	Dis...
1	Item No.	Item No.		☒	☒
2	Item Description	Item Description		☒	☒
3	In Stock	In Stock		☒	☒
4	Virtual Asset Item	Virtual Asset Item		☒	☒
5					

Sort Order: Ascending

OK Cancel Restore Default

- When issuing an A/P invoice, to facilitate spotting a virtual item out of the list of items and fixed assets, modify the list of items settings and display the *Virtual Asset Item* field.
- To do that, after opening the *List of Items* window, choose the *Form Setting* icon from the upper menu bar to modify the list display.

Summary



Here are some key points to take away:

- The Capitalization is the process of recording the acquisition and production cost (APC) as a fixed asset.
- The A/P Invoice automatically generates the *Capitalization* document for each A/P invoice that includes fixed asset master data. The user can generate the *Capitalization* document directly. In both options the Asset Master Data is activated.
- The account determination definition enables the system to automatically select the relevant G/L accounts for assets accounting.
- Virtual items can be capitalized by A/P invoices only. A Capitalization document including the created assets is issued automatically as well as a journal entry against the asset account.
- The assets created are regular fixed assets with monetary values. The virtual item functions as a template and therefore will not have any values under the Fixed Assets tab.
- You can include multiple virtual fixed assets in the same A/P invoice, but you cannot include both virtual fixed assets and normal fixed assets in the same A/P invoice.

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- The assets created are regular fixed assets with monetary values. The virtual item functions as a template and therefore will not have any values under the *Fixed Assets* tab.
- You can include multiple virtual fixed assets in the same A/P invoice, but you cannot include both virtual fixed assets and normal fixed assets in the same A/P invoice.

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